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MGT 101

Final Term Preparation MCQs

Most Important

&

Repeated MCQs

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Shares for which amount is paid by public are called _____ shares.

- ✓ ► *Paid up*
- ✓ ► *Authorized*
- ✓ ► *Bonus shares*
- ✓ ► *All are correct options*

Term "Credit" means_____ by the business.

- ✓ ► *Receiving of benefits*
- ✓ ► *It has no effect on business*
- ✓ ► *Providing of benefits*
- ✓ ► *It depends upon items*

Which of the following is used to record financial transactions in chronological (day-to-day) order?

- ✓ ► *Voucher*
- ✓ ► *General Journal*
- ✓ ► *General Ledger*
- ✓ ► *Trial balance*

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Which of the following is CORRECT about the flow of recording a transaction?

- ✓ ► *Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet*
- ✓ ► *Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet*
- ✓ ► *Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet*
- ✓ ► *Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet*

In an account, if credit side < debit side then the balance is known as:

- ✓ ► *Negative Balance*
- ✓ ► *Debit Balance*
- ✓ ► *Positive Balance*
- ✓ ► *Credit Balance*

Which one of the following is a type of General Ledger?

- ✓ ► *Book of original entry*
- ✓ ► *'T' Account*
- ✓ ► *Source document*
- ✓ ► *Day book*

Which of the following is NOT considered a part of financial statements?

- ✓ ► *General Ledger*
- ✓ ► *Balance Sheet*
- ✓ ► *Profit and Loss Account*
- ✓ ► *Cash Flow Statement*

The difference between current Assets and current liabilities is known as:

- ✓ ► *Working capital*
- ✓ ► *Opening stock*
- ✓ ► *Closing stock*
- ✓ ► *Owner's equity*

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If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?

- ✓ ► *Rs. 25,000*
- ✓ ► *Rs. 1, 00,000*
- ✓ ► *Rs. 1, 75,000*
- ✓ ► *Rs. 3, 00,000*

If, Cost of machine = Rs.400, 000

Useful life = 5 years

Residual value = Rs.25, 000

The depreciation of machine per year using straight line method is?

- ✓ ► *Rs. 160,000*
- ✓ ► *Rs. 96,000*
- ✓ ► *Rs. 75,000*
- ✓ ► *Rs. 57,600*

The cost of moving plant and machinery to a new site will be treated as:

- ✓ ► Revenue expense
- ✓ ► Capital expense
- ✓ ► Administrative expense
- ✓ ► Operating expense

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ✓ ► Cash account
- ✓ ► Furniture account
- ✓ ► Vehicle account
- ✓ ► Capital account

A debit balance in the Bank Statement indicates:

- ✓ ► Cash at bank
- ✓ ► Bank overdraft
- ✓ ► Overpayment to creditors
- ✓ ► Cash in hand

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Which of the following best describes unpresented cheques?

- ✓ ► Cheques received on behalf of the business by the bank
- ✓ ► Cheques drawn but yet to be recorded in the bank records
- ✓ ► Cheques issued by the bank not recorded in business records
- ✓ ► Cheques received but yet to be recorded in the bank records

Which of the following is an item of a debtors control account?

- ✓ ► Cash sale
- ✓ ► Credit sales
- ✓ ► Credit purchase
- ✓ ► Cash purchases

Transaction that has been completely forgotten to enter is called:

- ✓ ► Error of principle
- ✓ ► Error of omission
- ✓ ► Error of commission
- ✓ ► Error of original entry

Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ✓ ► *Cash Account*
- ✓ ► *Sales Account*
- ✓ ► *Purchase Account*
- ✓ ► *Office Equipment Account*

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ✓ ► *Bank charges*
- ✓ ► *An error on the Bank Statement*
- ✓ ► *An uncredited deposit*
- ✓ ► *An unpresented cheque*

Identify the row above, showing an INCORRECT financial-statement classification?

- ✓ ► *Row A*
- ✓ ► *Row B*
- ✓ ► *Row C*
- ✓ ► *Row D*

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Which financial statement show what a business owes at a particular point in time?

- ✓ ► *A cash flow statement*
- ✓ ► *The bank statement for the business*
- ✓ ► *A balance sheet*
- ✓ ► *A statement of retained earnings*

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

- ✓ ► *Capital account*
- ✓ ► *Shareholder account*
- ✓ ► *Liability account*
- ✓ ► *Expense account*

Capital account of sole proprietors is affected by which of the following items?

a. ***Profit & Loss account***
b. ***Drawings account***
c. ***Balances of capital account***

✓ ► *a,b*
✓ ► *b,c*
✓ ► *a,c*
✓ ► *a,b,c*

When closing stock is given in trial balance, then it will effect:

✓ ► *Trading account only*
✓ ► *Balance sheet only*
✓ ► *Owner's equity only*
✓ ► *Both Trading account and Balance sheet*

Fixed Asset (WDV) + _____ = Total assets Employed

✓ ► *Working capital*
✓ ► *Total liabilities*
✓ ► *Total assets*
✓ ► *Current assets*

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A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

✓ ► *Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000*
✓ ► *Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500*
✓ ► *Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000*
✓ ► *Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500*

Share premium account is used for what?

✓ ► *Write off Preliminary Expenses of the company.*
✓ ► *Write off the balance amount, in issuing shares on discount.*
✓ ► *Issue fully paid Bonus Shares.*
✓ ► *All of the given options*

Which of the following is the most important document of the company?

- ✓ ► *Memorandum of Association*
- ✓ ► *Articles of Association*
- ✓ ► *Prospectus*
- ✓ ► *Annual Report*

Which of the following documents contains rules and regulations for internal management of the company?

- ✓ ► *Memorandum of Association*
- ✓ ► *Articles of Association*
- ✓ ► *Prospectus*
- ✓ ► *Statutory Declaration*

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

- ✓ ► *Not paying invoices received from creditors*
- ✓ ► *The sale of fixed assets during the period*
- ✓ ► *An increase in trade debtors over the course of the period*
- ✓ ► *An increase in the depreciation charge relative to the previous accounting period*

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Which of the following statement in NOT TRUE about the limited company form of business?

- ✓ ► *The limited company form of business allows ownership of the business to be spread amongst many people*
- ✓ ► *Shareholders can appoint professionals*
- ✓ ► *Shareholders are personally liable for all the liabilities incurred by the business*
- ✓ ► *Regular filing of information about the affairs of the company is a legal requirement*

Which of the following ratio tells about "How a company would repays its loans"

- ✓ ► *Mark up cover ratio*
- ✓ ► *Acid test ratio*
- ✓ ► *Current ratio*
- ✓ ► *Debt Equity ratio*

If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what is the depreciation rate under reducing balance method?

- ✓ ► *10%*
- ✓ ► *22%*
- ✓ ► *42%*
- ✓ ► *52%*

Mr." A" sold goods for Rs. 300,000 to Mr. "B", Rs. 300,000 will be treated as _____ for business of Mr. "A".

- ✓ ► *Revenue*
- ✓ ► *Net profit*
- ✓ ► *Gross profit*
- ✓ ► *Operating profit*

An uncollectible account receivable is also termed as:

- ✓ ► *Asset*
- ✓ ► *Uncollectible asset*
- ✓ ► *Uncollectible accounts expense*
- ✓ ► *None of the given options*

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Payment is made of a company's purchases on credit, which of the following is correct:

- ✓ ► *Debit stock account and credit creditors account*
- ✓ ► *Debit creditors account and credit cash account*
- ✓ ► *Debit cash account and credit creditors account*
- ✓ ► *Debit stock account and credit cash account*

ABC company makes payment of Rs.50,000 to Mr. Ali Zafar, who is a debtor, is wrongly recorded in the account of Zafar Ali. The error is classified as:

- ✓ ► *Error of commission*
- ✓ ► *Error of omission*
- ✓ ► *Error of original entry*
- ✓ ► *Error of principle*

Deferred revenues will become revenue when they are:

- ✓ ► Realized
- ✓ ► Earned
- ✓ ► Incurred
- ✓ ► Paid

The weekly or biweekly compensation received by hourly-paid employees is called:

- ✓ ► Salary
- ✓ ► Wages
- ✓ ► Income
- ✓ ► Profit

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

- ✓ ► Interest expense
- ✓ ► Interest payable
- ✓ ► Prepaid interest
- ✓ ► Interest paid

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Insurance premiums paid in advance but not yet expired are reported in which of the following account?

- ✓ ► Insurance payable
- ✓ ► Prepaid insurance
- ✓ ► Advance payment account
- ✓ ► Insurance expense

Dillon Company sold marketable securities Costing Rs.60,000 for Rs.72,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

- ✓ ► A Rs.72,000 gain and a Rs.6,000 cash receipt
- ✓ ► A Rs.12,000 gain and a Rs.72,000 cash receipt
- ✓ ► A Rs.12,000 gain and a Rs.60,000 cash receipt
- ✓ ► A Rs.72,000 sale and a Rs.72,000 cash receipt

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

- ✓ ► Rs.52,500
- ✓ ► Rs.42,500
- ✓ ► Rs.41,500
- ✓ ► Rs.50,500

Which of the following is quoted company?

- ✓ ► Private Limited Company
- ✓ ► Public Limited Company
- ✓ ► Listed company
- ✓ ► Non Listed Company

Which of the following is one of the major factors affecting the market value of a company's shares?

- ✓ ► current ratio
- ✓ ► Earning per share
- ✓ ► Return on investment
- ✓ ► Return on asset

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Shares for which amount is paid by public are called _____ shares.

- ✓ ► Paid up
- ✓ ► Authorized
- ✓ ► Bonus shares
- ✓ ► All are correct options

Which of the following account/s will be affected under the rule of accrual accounting, when furniture is purchased on cash?

- ✓ ► Only Cash Account
- ✓ ► Only Furniture Account
- ✓ ► Cash & Furniture Account
- ✓ ► Only Purchases Account

A book, in which receipts and payments are recorded, is known as:

- ✓ ► Pass Book
- ✓ ► Cash Book
- ✓ ► Purchase Book
- ✓ ► Sales Book

Which of the following shows summary of a company's financial position at a specific date?

- ✓ ► Profit & Loss Account
- ✓ ► Cash Flow Statement
- ✓ ► Balance Sheet
- ✓ ► Income & Expenditure Account

Which of the following is NOT an example of intangible assets?

- ✓ ► Franchise rights
- ✓ ► Goodwill
- ✓ ► Patents
- ✓ ► Land

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

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- ✓ ► Furniture account
- ✓ ► Cash account
- ✓ ► Business account
- ✓ ► Bank account

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.

- ✓ ► Rs. 5,000
- ✓ ► Rs. 10,000
- ✓ ► Rs. 15,000
- ✓ ► Rs. 20,000

Cost of Goods Sold = ?

- ✓ ► Beginning inventory + Purchases – Work in Process
- ✓ ► Beginning inventory + Purchases – Sales
- ✓ ► Beginning inventory + Purchases – Ending inventory
- ✓ ► Ending inventory + Purchases – Beginning Inventory

The total of all costs incurred to convert raw material into finished goods is known as

- ✓ ► *Prime cost*
- ✓ ► *Conversion cost*
- ✓ ► *Sunk cost*
- ✓ ► *Opportunity cost*

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

- ✓ ► *Total factory cost + Opening work in process + Ending work in process*
- ✓ ► *Total factory cost + Opening work in process – Ending work in process*
- ✓ ► *Total factory cost – Opening work in process + Ending work in process*
- ✓ ► *Ending work in process +Total factory cost – Opening work in process*

Fixed assets are also called:

- ✓ ► *Depreciable assets*
- ✓ ► *Current assets*
- ✓ ► *Liquid assets*
- ✓ ► *Floating assets*

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Increase in an asset is recorded on the:

- ✓ ► *Left or credit side of the account*
- ✓ ► *Right or debit side of the account*
- ✓ ► *Left or debit side of the account*
- ✓ ► *Right or credit side of the account*

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ✓ ► *Appreciation*
- ✓ ► *Depreciation*
- ✓ ► *Fluctuation*
- ✓ ► *None of the given options*

Debit balance in the Bank Statement indicates:

- ✓ ► *Cash at bank*
- ✓ ► *Bank overdraft*

- ✓ ► *Overpayment to creditors*
- ✓ ► *Cash in hand*

Bank Statement is a record of transactions between the bank and the holder of:

- ✓ ► *A foreign currency account*
- ✓ ► *A current account*
- ✓ ► *A saving account*
- ✓ ► *All of the given options*

Which of the following is/are the item/s of a Control Account?

- ✓ ► *Credit sale only*
- ✓ ► *Cash sale only*
- ✓ ► *Credit purchase only*
- ✓ ► *Both Credit sales and Credit purchase*

Control account tells about:

- ✓ ► *Details of loyal clients*
- ✓ ► *Customer attitude of payments*
- ✓ ► *Complete history of transactions of business clients*
- ✓ ► *Picture collectively instead of individually*

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to "Mr.P" mistakenly entered in sales book?

- ✓ ► *p's account*
- ✓ ► *Purchases return account*
- ✓ ► *Sales account*
- ✓ ► *Purchases returns account and sales account*

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

- ✓ ► *A's account only*
- ✓ ► *Sales account only*
- ✓ ► *Purchase returns account and sales account*
- ✓ ► *Purchases account only*

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- ✓ ► *Only Cash Account*
- ✓ ► *Only P's account*
- ✓ ► *Only Q's account*
- ✓ ► *Both of Mr. P's &Mr.Q'sAccount*

Wages paid to laborers working in the manufacturing department is treated as an expense of:

- ✓ ► *Administrative expenses*
- ✓ ► *Selling expenses*
- ✓ ► *Marketing expenses*
- ✓ ► *Cost of goods sold*

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Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

- ✓ ► *Sole-ownership*
- ✓ ► *Private limited company*
- ✓ ► *Public limited company*
- ✓ ► *Partnership*

In Income Statement, both beginning inventory and ending inventory appear in the section of:

- ✓ ► *Cost of good sold*
- ✓ ► *Indirect cost*
- ✓ ► *Selling cost*
- ✓ ► *Factory over head cost*

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

- ✓ ► *Capital Reserve*
- ✓ ► *Authorized share capital*
- ✓ ► *Paid up share capital*

- ✓ ► *Share premium*

A company is said to have been registered when:

- ✓ ► *It gets certificate of incorporation from registrar of Companies*
- ✓ ► *It gets certificate of commencement of business from registrar of Companies*
- ✓ ► *It actually starts its business*
- ✓ ► *It filed with the Registrar of Companies articles certain documents, like*

Memorandum and articles of association6% Debentures Account Rs. 3, 00,000. What amount of interest on debentures should be shown in profit and loss account?

- ✓ ► *Rs. 6,000*
- ✓ ► *Rs. 3, 00,000*
- ✓ ► *Rs. 18,000*
- ✓ ► *Rs. 3, 18,000*

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

- ✓ ► *It will be deducted in Income Statement only*
- ✓ ► *Itwill be treated as current liability in balance sheet only*
- ✓ ► *It will be treated as current asset in balance sheet only*
- ✓ ► *Both it will be deducted in income statement and it will be treated as current liability in balance sheet*

When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?

- ✓ ► *Rs. 62,500*
- ✓ ► *Rs. 12,500*
- ✓ ► *Rs. 10,000 (25000*2/5 = 10000)*
- ✓ ► *Cannot be calculated with the help of given data*

Prepaid interest given in the Trial Balance will be treated as a (an):

✓ ► *Asset*
✓ ► *Liability*
✓ ► *Revenue*
✓ ► *Deferred expense*

Which one of the following is another name of carrying cost of an asset?

✓ ► *Book Value*
✓ ► *Residual Value*
✓ ► *Fair Value*
✓ ► *Break up Value*

An overdraft will appear as:

✓ ► *A debit balance in both the bank statement and the cash book*
✓ ► *A credit balance in the bank statement but as a debit balance in the cash book*
✓ ► *A credit balance in the cash book but as a debit balance in the bank statement*
✓ ► *A credit balance in both the bank statement and the cash book*

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Recovery of bad debts is treated as:

✓ ► *Profit*
✓ ► *Revenue*
✓ ► *Expense*
✓ ► *Asset*

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

✓ ► *Left side or debit*
✓ ► *Left side or credit*
✓ ► *Right side or debit*
✓ ► *Right side or credit*

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

✓ ► *Left side or credit*
✓ ► *Left side or debit*
✓ ► *Right side or debit*

- ✓ ►*Right side or credit*

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

- ✓ ► *Error of commission*
- ✓ ► *Error of omission*
- ✓ ► *Error of original entry*
- ✓ ► *Error of principle*

Which of the given statement is CORRECT if both sides of trial balance are equal?

- ✓ ► *It is proof that no transaction was completely omitted from the ledger during the posting process*
- ✓ ► *It is proof that the correct debit or credit balance has been computed for each account*
- ✓ ► *It is proof that the ledger is in balance*
- ✓ ► *It is proof that transactions have been correctly analyzed and recorded in the proper accounts*

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Which of the following justifies when profit is earned?

- ✓ ► *Assets exceed Expenditure*
- ✓ ► *Income exceeds Expenditure*
- ✓ ► *Cash Inflow exceeds Cash Outflow*
- ✓ ► *Income exceeds Liabilities*

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

- ✓ ► *1:2*
- ✓ ► *2:3*
- ✓ ► *3:2*
- ✓ ► *3:1*

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

- ✓ ► *Income tax payable*

- ✓ ► *Prepaid income tax*
- ✓ ► *Income tax expense*
- ✓ ► *Income tax paid*

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

- ✓ ► *Rs.23,000*
- ✓ ► *Rs.28,000*
- ✓ ► *Rs.33,000*
- ✓ ► *Some other amount*

Which of the following is responsible to register the companies?

- ✓ ► *State Bank of Pakistan*
- ✓ ► *Security and Exchange Commission of Pakistan*
- ✓ ► *Supreme Court*
- ✓ ► *Stock Exchange*

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Which of the following can be utilized to set off any loss on revaluation?

- ✓ ► *Capital reserve*
- ✓ ► *General reserve*
- ✓ ► *Revaluation reserve*
- ✓ ► *None of the given options*

Which of the following is known as the charter of the company?

- ✓ ► *Prospectus*
- ✓ ► *Articles of association*
- ✓ ► *Memorandum of association*
- ✓ ► *None of the given options*

Statement of cash flows helps the stakeholders to assess:

- ✓ ► *Ability to pay cash dividends in the future*
- ✓ ► *All of the given options*

- ✓ ► *The ability to generate future cash flows*
- ✓ ► *The liquidity of the business*

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ✓ ► *Receivables*
- ✓ ► *Receipts from Capital*
- ✓ ► *Current and intangible assets*
- ✓ ► *Cash equivalents*

Shares for which amount is paid by public are called _____ shares.

- ✓ ► *Paid up*
- ✓ ► *Authorized*
- ✓ ► *Bonus shares*
- ✓ ► *All are correct options*

The area of accounting concerned with reporting financial information to the interested parties is called:

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- ✓ ► *Cost Accounting*
- ✓ ► *Financial Accounting*
- ✓ ► *Management Accounting*
- ✓ ► *Tax Accounting*

An organization operating with the objective of making profit from the sale of goods or services is called:

- ✓ ► *Transaction*
- ✓ ► *Business*
- ✓ ► *Society*
- ✓ ► *Trust*

Which of the following essentials are shown in Bank Book?

Date of transaction

Narration of transaction

Cheque number

- ✓ ► *(1) & (2) only*
- ✓ ► *(2) & (3) only*
- ✓ ► *(1) & (3) only*
- ✓ ► *(1), (2) & (3)*

Which of the following summarizes the cash movements during a specified period?

- ✓ ► *Trading account*
- ✓ ► *Profit & Loss account*
- ✓ ► *Receipts & Payments account*
- ✓ ► *Balance Sheet*

What type of expenses are paid out of Gross Profit?

- ✓ ► *Selling Expenses*
- ✓ ► *General Expenses*
- ✓ ► *Financial Expenses*
- ✓ ► *All of the given options*

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Following are the inventories of Manufacturing Concern EXCEPT:

- ✓ ► *Raw material*
- ✓ ► *Work in process*
- ✓ ► *Finished goods*
- ✓ ► *Merchandise inventory*

In cost of goods sold statement, the 'cost of material consumed' is equal to:

- ✓ ► *Opening raw material inventory + Purchases – Ending raw material inventory*
- ✓ ► *Opening raw material inventory – Purchases + Ending raw material inventory*
- ✓ ► *Ending raw material inventory + Opening raw material inventory – Purchases*
- ✓ ► *Ending raw material inventory + Opening raw material inventory + Purchases*

If, Cost of machine = Rs.400, 000

Useful life = 5 years

Residual value = Rs.25, 000

The depreciation of machine per year using straight line method is?

- ✓ ► Rs. 160,000
- ✓ ► Rs. 96,000
- ✓ ► Rs. 75,000
- ✓ ► Rs. 57,600

The Primary objective of providing depreciation is:

- ✓ ► To calculate true profit
- ✓ ► To show the asset on market value
- ✓ ► To reduce tax Burdon
- ✓ ► To provide funds for replacement

Accounting is the language of:

- ✓ ► Business
- ✓ ► School
- ✓ ► Proprietor
- ✓ ► Managemen

A Bank Reconciliation Statement is prepared to:

- ✓ ► Ascertain that the difference between the Cash Book balance and the Bank statement balance has been accounted for
- ✓ ► Correct errors in the Cash Book or errors in the Bank Statement
- ✓ ► Amend the balance of the Bank Statement of the firm
- ✓ ► Amend the balance in the Cash Book of the firm

Which of the following is an item of a debtors control account?

- ✓ ► Cash sale
- ✓ ► Credit sales
- ✓ ► Credit purchase
- ✓ ► Cash purchases

Which of the following is an item of a creditors control account?

- ✓ ► Cash purchases
- ✓ ► Cash sales
- ✓ ► Credit sales
- ✓ ► Credit purchase

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

- ✓ ► *It tells about customer attitude of payments*
- ✓ ► *It can be checked against the control account to pick up recording errors*
- ✓ ► *It tells about the complete history of transactions of business client*
- ✓ ► *All of the given options*

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited *to Mr. "B" account?*

- ✓ ► *A's account (Dr.) and B's account (Cr.)*
- ✓ ► *B's account (Dr.) and A's account (Cr.)*
- ✓ ► *Sales account (Dr.) and B's account (cr.)*
- ✓ ► *B's account (Dr.) and Sales account (Cr.)*

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ✓ ► *Bank charges*
- ✓ ► *An error on the Bank Statement*
- ✓ ► *An uncredited deposit*
- ✓ ► *An unpresented cheque*

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It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ✓ ► *Rs. 3,600*
- ✓ ► *Rs. 4,000*
- ✓ ► *Rs. 1,600*
- ✓ ► *Rs. 2, 400*

Which of the following is the first phase of the typical operating cycle?

- ✓ ► *Sell goods and services to customers*
- ✓ ► *Purchase goods and services*
- ✓ ► *Receive cash from customers*
- ✓ ► *Pay cash to suppliers*

Which one of the following is TRUE about provisions?

- ✓ ► *It is necessary to prepare for showing true picture of balance sheet*
- ✓ ► *It is a reduction from assets*
- ✓ ► *It is prepared for specific purposes*
- ✓ ► *All of the given options*

Which of the following is/are NOT shown in balance sheet of sole proprietor?

- ✓ ► *Fixed assets*
- ✓ ► *Current liabilities*
- ✓ ► *Profit sharing ratio*
- ✓ ► *Long term assets*

When closing stock is given in trial balance, then it will effect:

- ✓ ► *Trading account only*
- ✓ ► *Balance sheet only*
- ✓ ► *Owner's equity only*
- ✓ ► *Both Trading account and Balance sheet*

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Which of the following is (are) NOT example(s) of distributable profit?

- ✓ ► *None of the given options*
- ✓ ► *General reserve*
- ✓ ► *Accumulated profit and loss (credit balance)*
- ✓ ► *Revaluation reserves*

- ✓ *Which of the following is NOT a cash inflow?*
- ✓ ► *Sale of fixed asset*
- ✓ ► *Issue of debentures*
- ✓ ► *Cash from business operation*
- ✓ ► *Purchase of fixed asset*

Which of the following business publishes the Financial Statements?

- ✓ ► *Sole-Proprietorship*
- ✓ ► *Partnership*
- ✓ ► *Trust*
- ✓ ► *Public Limited Company*

When income exceeds expenses in a specific time period is known as:

- ✓ ► *Savings*
- ✓ ► *Net profit*
- ✓ ► *Gross profit*
- ✓ ► *Operating profit*

Which of the following transaction have NO affect on stockholders' equity?

- ✓ ► *Purchase of building on credit*
- ✓ ► *Dividends to stockholders*
- ✓ ► *Net loss*
- ✓ ► *Investment in cash by stockholders*

In balance sheet fixed assets are shown at:

- ✓ ► *Residual value*
- ✓ ► *Market value*
- ✓ ► *Fair value*
- ✓ ► *Written down value (WDV)*

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Firms charge depreciation each year:

- ✓ ► *To ensure that there is enough money in the firm to replace the asset*
- ✓ ► *To spread the cost of the asset over its working life*
- ✓ ► *To reduce the profit and thus reduce the dividends they can pay to share holders*
- ✓ ► *Because the law states they must be reduced*

Which of the following is(are) CORRECT for Doubtful Debt?

- ✓ ► *It is shown in balance sheet*
- ✓ ► *It is a definite loss to the business*
- ✓ ► *No provision is necessary for it*
- ✓ ► *All of the given option*

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

- ✓ ► *Discount received*
- ✓ ► *Goods returned*
- ✓ ► *Purchase of goods on credit*

- ✓ ► *Payment of goods*

A bad debt affects the Balance Sheet because it is a (an):

- ✓ ► *Liability*
- ✓ ► *Asset*
- ✓ ► *Expense*
- ✓ ► *Income*

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credittrceipts will be:

- ✓ ► *Rs. 150,000*
- ✓ ► *Rs. 100,000*
- ✓ ► *Rs. 220,000*
- ✓ ► *Rs. 280,000*

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

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- ✓ ► *Net realizable value is understated*
- ✓ ► *Expenses are understated*
- ✓ ► *Revenues are understated*
- ✓ ► *Receivables are understated*

In the heading of financial statement, _____ is not required?

- ✓ ► *Title of financial statement*
- ✓ ► *Name of the person who prepares financial statement*
- ✓ ► *Period for which financial statement is prepared*
- ✓ ► *Name of business entity*

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

- ✓ ► *A debit to the Cash Received account of Rs. 3,500*
- ✓ ► *A credit to the Accounts Receivable account of Rs.2,100*
- ✓ ► *A debit to the Cash account of Rs.1,400*
- ✓ ► *A debit to the Accounts Receivables account of Rs.1,400*

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?

- ✓ ► *Rs.1,320*
- ✓ ► *Rs.2,640*
- ✓ ► *Rs.3,960*
- ✓ ► *Rs.6,600*

The amount of prepaid insurance that expired in the current accounting period should be reported as _____.

- ✓ ► *Prepaid insurance*
- ✓ ► *Insurance expense*
- ✓ ► *Insurance payable*
- ✓ ► *Insurance paid*

Unexpired costs are reported as:

- ✓ ► *Revenues*
- ✓ ► *Expenses*
- ✓ ► *Assets*
- ✓ ► *Income*

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Insurance premiums paid in advance but not yet expired are reported in which of the following account?

- ✓ ► *Insurance payable*
- ✓ ► *Prepaid insurance*
- ✓ ► *Advance payment account*
- ✓ ► *Insurance expense*

Profits earned by partnerships compensate the owners for which of the following?

- ✓ ► *Personal services rendered to the business*
- ✓ ► *Capital invested in the business*
- ✓ ► *Assuming the risks of ownership*
- ✓ ► *All of the given options*

Which of the following can be utilized to issue bonus shares?

- ✓ ► *Reserves*
- ✓ ► *Debentures*
- ✓ ► *Share premium*
- ✓ ► *Term finance certificate*

Which of the following value of the share is authorized by the memorandum of association?

- ✓ ► *Par value*
- ✓ ► *Face value*
- ✓ ► *Nominal value*
- ✓ ► *All of the given options*

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ✓ ► *Provision for doubtful debts*
- ✓ ► *Gain or loss on currency exchange rate*
- ✓ ► *Depreciation charged on fixed asset*
- ✓ ► *Amount received for disposal of a fixed asset*

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According to the statement of cash flows following are the examples of investing activities except:

- ✓ ► *Sales of machinery*
- ✓ ► *Capital invested by the owners*
- ✓ ► *Purchase of building for the business use*
- ✓ ► *Cash received from the disposal of equipment*

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ✓ ► *Statement of retained earnings*
- ✓ ► *Statement of financial position*

✓ ► *Statement of cash flows*
✓ ► *Statement of changes in equity*

What is the reason that some short term creditors prefer quick ratio over current ratio as a measure of short-term liquidity?

✓ ► *Short operating cycle of the company*
✓ ► *Long operating cycle of the company*
✓ ► *Liquidity is not affected by operating cycle*
✓ ► *It is the creditor's choice*

Which of the following is correct according to the double entry system of book-Keeping?

✓ ► *Debit = Credit*
✓ ► *Debit > Credit*
✓ ► *Debit < Credit*
✓ ► *All of the given options*

An Asset that is NOT physical in nature is called _____.

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✓ ► *Intangible Asset*
✓ ► *Liquid Asset*
✓ ► *Current Asset*
✓ ► *Fixed Asset*

Which of the following account balance will be shown on debit side of Trial balance? (It is assumed that all account balances are shown on normal balance)

✓ ► *Cash account*
✓ ► *Furniture account*
✓ ► *Vehicle account*
✓ ► *All of the given options*

Bank Reconciliation Statement is:

✓ ► *A memorandum statement*
✓ ► *A ledger account*
✓ ► *A part of cash book*
✓ ► *A part of journal*

Which of the following is a selling expense?

- ✓ ► *Interest on deposits*
- ✓ ► *Any tax/freight is paid on purchases*
- ✓ ► *General salaries paid to laborers*
- ✓ ► *Tax& freight paid on sale PG26*

Which account is increased with a debit and decreased with a credit?

- ✓ ► *Cash*
- ✓ ► *Accounts Payable*
- ✓ ► *Contributed Capital*
- ✓ ► *Retained Earnings*

Which of the following journal entry will be recorded, if cash is drawn by a proprietor?

- ✓ ► *Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)*
- ✓ ► *Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)*
- ✓ ► *Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)*
- ✓ ► *Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)*

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When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

- ✓ ► *Individual Partner's Current Account*
- ✓ ► *Partner's Cash Account*
- ✓ ► *Partner's Bank Account*
- ✓ ► *Partners Capital Account*

Authorized share capital is also known as:

- ✓ ► *Registered capital*
- ✓ ► *Issued capital*
- ✓ ► *Paid up capital*

- ✓ ► *Called up capital*

When goods are acquired from the supplier the gross cost of such goods is recorded in:

- ✓ ► *Debtor Account*

- ✓ ► *Purchases Account*
- ✓ ► *Factory overhead account*
- ✓ ► *Sales Account*

Which of the following is NOT a cash inflow?

- ✓ ► *Sale of fixed asset*
- ✓ ► *Issue of debentures*
- ✓ ► *Cash from business operation*
- ✓ ► *Purchase of fixed asset*

In cash flow statements, which of the following would appear as an inflow of cash?

- ✓ ► *The repayments of a bank loan*
- ✓ ► *Dividend issue in the current year*
- ✓ ► *Money received as result of selling fixed assets*
- ✓ ► *The difference between the valuations of old and new fixed asset*

In cash flow statements, which of the following would appear as a cash outflow?

- ✓ ► *The payments for purchases made during the year*
- ✓ ► *A decrease in trade debtors over the course of an accounting period*
- ✓ ► *Money received as a result of issuing new shares*
- ✓ ► *Money received as result of selling fixed assets*

When we close bad debt account, which of the following account is debited?

- ✓ ► *Profit and loss account*
- ✓ ► *Bad debt account*
- ✓ ► *Debtor account*
- ✓ ► *Creditor account*

Subsidiary ledgers are maintained for:

- ✓ ► *Debtors*
- ✓ ► *Creditors*
- ✓ ► *Stock*
- ✓ ► *All of the given options*

ABC Company received discount on its credit purchases, which of the following will be credited while entering in journal?

- ✓ ► *Cash*
- ✓ ► *Discount received*
- ✓ ► *Creditors*
- ✓ ► *Bank*

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a chequeof Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

- ✓ ► *Rs. 21,000*
- ✓ ► *Rs. 51,000*
- ✓ ► *Rs. 36,000*
- ✓ ► *Rs. 15,000*

Which of the following indicates cash discount received?

- ✓ ► *Discount in paying debt earlier*
- ✓ ► *Discount in receiving debt earlier*
- ✓ ► *Discount in purchasing huge goods*
- ✓ ► *Discount in selling huge goods*

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Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ✓ ► *Rs.42,350*
- ✓ ► *Rs.44,150*
- ✓ ► *Rs.41,600*
- ✓ ► *Rs.40,850*

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?

- ✓ ► *Rs.81,700*

- ✓ ► *Rs.88,300*
- ✓ ► *Rs.131,700*
- ✓ ► *Rs.146,700*

Which of the following value of the share is authorized by the memorandum of association?

- ✓ ► *Par value*
- ✓ ► *Face value*
- ✓ ► *Nominal value*
- ✓ ► ***All of the given options***

Which of the following statement is not true regarding the objective of statement of cash flows?

- ✓ ► *It is helpful for decision making by management*
- ✓ ► *It is used for reporting the net profit of the period*
- ✓ ► *It can be used for estimations for cash flows in future*
- ✓ ► *It is used to determine the liquidity of the business*

Statement of cash flows helps the stakeholders to assess:

- ✓ ► *Ability to pay cash dividends in the future*
- ✓ ► *All of the given options*
- ✓ ► *The ability to generate future cash flows*
- ✓ ► *The liquidity of the business*

According to the statement of cash flows following are the examples of investing activities except:

- ✓ ► *Sales of machinery*
- ✓ ► *Capital invested by the owners*
- ✓ ► *Purchase of building for the business use*
- ✓ ► *Cash received from the disposal of equipmet*

The cash book in book-keeping records:

- ✓ ► *All cash and credit purchase of goods*
- ✓ ► *Only cash payments*
- ✓ ► *All receipts and payments in cash*

- ✓ ► *All cash and credit sale of goods*

What will be the effect of decrease in closing stock on gross profit?

- ✓ ► *Gross profit increased*
- ✓ ► *Gross profit decreased*
- ✓ ► *No effect on Gross profit*
- ✓ ► *Gross profit will become positive*

If:

· Direct Material Cost is Rs. 20,000

· Direct labour cost is Rs. 10,000

· Manufacturing Cost is Rs. 45,000

Then:

What is the amount of Factory Overhead?

- ✓ ► *Rs. 15,000*
- ✓ ► *Rs. 30,000*
- ✓ ► *Rs. 35,000*
- ✓ ► *Rs. 25,000*

Learning With A&I

Which one of the following methods for inventory valuation may overstate the income during the periods of rising prices?

- ✓ ► *Specific Identification Method*
- ✓ ► *FIFO Method*
- ✓ ► *LIFO Method*
- ✓ ► *Weighted Average Method*

Which of the following is NOT a method of calculating depreciation?

- ✓ ► *Straight Line Method*
- ✓ ► *Written Down Value Method*
- ✓ ► *Diminishing Balance Method*
- ✓ ► *Specific Identification Method*

What is the treatment of Depreciation in accounting?

- ✓ ► *Written in balance sheet under the head of fixed assets*
- ✓ ► *Charged to profit and loss account*
- ✓ ► *Written in balance sheet under the head of current assets*
- ✓ ► *Written in balance sheet under the head of liabilities*

Which of the following is TRUE?

- ✓ ► *Gain on revaluation is credited to Revaluation Reserve Account.*
- ✓ ► *Gain on revaluation is debited to Revaluation Reserve Account.*
- ✓ ► *Gain on revaluation is credited to Profit & Loss Account.*
- ✓ ► *Gain on revaluation is debited to Profit & Loss Account.*

The loss on the sale of fixed assets is a:

- ✓ ► *Normal loss*
- ✓ ► *Ordinary loss*
- ✓ ► *Capital loss*
- ✓ ► *Revenue loss*

Learning With A&I

Which of the following is NOT included in Debtors Control Account?

- ✓ ► *Cash sale*
- ✓ ► *Credit sale*
- ✓ ► *Bills receivable*
- ✓ ► *Discount allowed*

If cash sale is the missing figure, it can be ascertained by the construction of:

- ✓ ► *Creditors Control Accounts*
- ✓ ► *Debtors Control Accounts*
- ✓ ► *Cash Account*
- ✓ ► *None of the given options*

Which of the following is/are the Classification of Current Assets?

- ✓ ► *Cash Balance*
- ✓ ► *Loans and Advances*
- ✓ ► *Bank Balance*
- ✓ ► *All of the given options*

Depreciation expense is charged to which of the following head?38

- ✓ ► *Administrative expenses*
- ✓ ► *Selling expenses*
- ✓ ► *Cost of sales*
- ✓ ► *It depends on the nature of expense*

Inventory is always considered as:

- ✓ ► *Current asset*
- ✓ ► *Current liability*
- ✓ ► *Long-term asset*
- ✓ ► *Stockholders' equity*

If:

Ø Capital at the start Rs. 100,000

Ø Profit during the year Rs. 50,000

Ø Withdrawal during the year Rs. 25,000

What would be the closing balance of capital?

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- ✓ ► *Rs. 175,000*
- ✓ ► *Rs. 150,000*
- ✓ ► *Rs. 125,000*
- ✓ ► *Rs. 75,000*

Which of the following Legal Documents of a company contain(s) the rules and regulations framed for the internal management of the company?

- ✓ ► *Memorandum of Association*
- ✓ ► *Articles of Association*
- ✓ ► *Both Memorandum of Association and Articles of Association*
- ✓ ► *Prospectus*

Which one of the following refers to the allotment of shares to the existing shareholders by capitalizing the reserves into additional capital?

- ✓ ► *Reserve funds*
- ✓ ► *Accumulated profit*
- ✓ ► *Right issue*

✓ ► Bonus issue

When a share having a face value of Rs.100 issued at Rs.90 then which one of the following options is correct under this situation?

- ✓ ► Share issued at premium
- ✓ ► Share issued at discount
- ✓ ► Share issued at nominal value
- ✓ ► Share issued at market value

Which of the following would be a suitable head for short term advances from customers in Balance Sheet?

- ✓ ► Current asset
- ✓ ► Intangible asset
- ✓ ► Tangible asset
- ✓ ► Current liability

If there is a portion of long term loan of Rs. 30,000 payable in the current accounting period. Where it will be shown in financial statement?

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- ✓ ► Current liability
- ✓ ► Long term liability
- ✓ ► Current asset
- ✓ ► Owner's equity

We can say that the business is in profit, when:

- ✓ ► Assets exceed Expenditure
- ✓ ► Assets exceed Liabilities
- ✓ ► Income exceeds Expenditure
- ✓ ► Income exceeds Liabilities

Term "Credit" means_____ by the business.

- ✓ ► Receiving of benefits
- ✓ ► It has no effect on business
- ✓ ► Providing of benefits correct
- ✓ ► It depends upon items

According to the double entry system of accounting, an account that obtains benefit is:

- ✓ ► *Debit*
- ✓ ► *Credit*
- ✓ ► *Income*
- ✓ ► *No need to show as accounting record*

When a Liability is reduced or decreased, it is recorded on the:

- ✓ ► *Right or debit side of the account*
- ✓ ► *Left or debit side of the account*
- ✓ ► *Left or credit side of the account*
- ✓ ► *Right or credit side of the account*

When Capital is increased by an amount, it is recorded on the:

- ✓ ► *Left or credit side of the account*
- ✓ ► *Right or debit side of the account*
- ✓ ► *Left or debit side of the account*
- ✓ ► *Right or credit side of the account*

Learning With A&I

Bank book is part of:

- ✓ ► *Voucher*
- ✓ ► *General Journal*
- ✓ ► *General Ledger*
- ✓ ► *Trial Balance*

What type of expenses are paid out of Gross Profit?

- ✓ ► *Selling Expenses*
- ✓ ► *General Expenses*
- ✓ ► *Financial Expenses*
- ✓ ► *All of the given options*

Which of the following shows summary of a company's financial position at a specific date?

- ✓ ► *Profit & Loss Account*
- ✓ ► *Cash Flow Statement*
- ✓ ► *Balance Sheet*
- ✓ ► *Income & Expenditure Account*

Which of the following is NOT an example of intangible assets?

- ✓ ► *Franchise rights*
- ✓ ► *Goodwill*
- ✓ ► *Patents*
- ✓ ► *Land*

- ✓ *Which of the following is an example of business liability?*
- ✓ ► *Land*
- ✓ ► *Building*
- ✓ ► *Cash*
- ✓ ► *Capital*

The unfavorable balance of Profit and Loss account should be:

- ✓ ► *Added in liabilities*
- ✓ ► *Subtracted from current assets*
- ✓ ► *Subtracted from liabilities*
- ✓ ► *Subtracted from capital*

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Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

- ✓ ► *Purchases account*
- ✓ ► *Mr. Ali account*
- ✓ ► *Cash account*
- ✓ ► *Sales account*

Interest on loan paid by business is an example of :

- ✓ ► *Deferred expense*
- ✓ ► *Revenue expense*
- ✓ ► *Capital expense*
- ✓ ► *None of the given options*

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ✓ ► *Appreciation*
- ✓ ► *Depreciation*
- ✓ ► *Fluctuation*
- ✓ ► *None of the given options*

Which of the following is NOT a function of bank reconciliation statement?

- ✓ ► *To reconcile the difference between the cash book and the bank statement*
- ✓ ► *To check for errors in balance sheet*
- ✓ ► *To update omitted entries into the cash book*
- ✓ ► *To update omitted entries into the bank statement*

Which of the following entry will be recorded when the Bad Debts are recovered?

- ✓ ► *Cash account (Dr.) & Bad Debts recovered account (Cr.)*
- ✓ ► *Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)*
- ✓ ► *Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)*
- ✓ ► *Provision for doubtful debts account (Dr.) & Cash account (Cr.)*

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ✓ ► *Sales Day Book*
- ✓ ► *Sales Return*
- ✓ ► *Debtors Ledger*
- ✓ ► *All of the given option*

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Sales are calculated by adding:

- ✓ ► *Cash sales and cash received from debtors*
- ✓ ► *Credit sales and cash received from debtors*
- ✓ ► *Cash sales and credit sales*
- ✓ ► *Cash Sales and credit purchases*

Which of the following item will be shown on debit side of debtors account?

- ✓ ► *Discount received*
- ✓ ► *Return inwards*
- ✓ ► *Discount allowed*
- ✓ ► *Credit sales*

Goods of Rs.1,000 purchased from Mr. "A" were recorded in sales book, the rectification of this error will:

- ✓ ► *Increase the gross profit*
- ✓ ► *Reduce the gross profit*
- ✓ ► *Have no effect on gross Profit*
- ✓ ► *None of the given option*

Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ✓ ► *Cash Account*
- ✓ ► *Sales Account*
- ✓ ► *Purchase Account*
- ✓ ► *Office Equipment Account*

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ✓ ► *Error of principle*
- ✓ ► *Error of omission*
- ✓ ► *Error of commission*
- ✓ ► *Error of original entry*

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

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- ✓ ► *Bank charges*
- ✓ ► *An error on the Bank Statement*
- ✓ ► *An uncredited deposit*
- ✓ ► *An unpresented cheque*

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ✓ ► *Rs. 3,600*
- ✓ ► *Rs. 4,000 correct*
- ✓ ► *Rs. 1,600*

- ✓ ► *Rs. 2, 400*

Which of the following is an example of operating expense?

- ✓ ► Purchasing operating equipment
- ✓ ► Purchasing cleaning services
- ✓ ► Purchasing an investment in another company
- ✓ ► Purchasing a computer for the accounting office

Which of the following would NOT be considered as a component of 'cost' of stock?

- ✓ ► Salaries of selling staff
- ✓ ► Transportation inward costs
- ✓ ► Import duties
- ✓ ► Purchase price

Which of the following will be debited, if cash is drawn by Proprietor?

- ✓ ► Proprietor's drawings
- ✓ ► Proprietor's cash
- ✓ ► Proprietor's capital
- ✓ ► Proprietor's income

Which of the following is TRUE about the treatment of insurance paid in advance Rs. 13,000?

- ✓ ► It will be treated as an other income in Profit & Loss Account
- ✓ ► It will be treated as a current asset in Balance Sheet
- ✓ ► It will be treated as a current liability in Balance Sheet
- ✓ ► It will be treated as an accrued expense in Balance Sheet

When closing stock is given in trial balance, then it will effect:

- ✓ ► Trading account only
- ✓ ► Balance sheet only
- ✓ ► Owner's equity only
- ✓ ► Both Trading account and Balance sheet

Fixed Assets (WDV) + Working Capital =?

- ✓ ► Total assets employed

- ✓ ► *Total liabilities*
- ✓ ► *Total assets*
- ✓ ► *Current assets*

Current accounts of the partners should be opened when the capitals are:

- ✓ ► *Fixed*
- ✓ ► *Fluctuating*
- ✓ ► *Floating*
- ✓ ► *Normal*

Which of the following is (are) type(s) of Public Limited Companies?

- ✓ ► *Listed company*
- ✓ ► *Non listed company*
- ✓ ► *Private limited company*
- ✓ ► *Both Listed Company and non listed company*

The charter of a company which defines the limitations and powers of the company is called:

- ✓ ► *The memorandum of association*
- ✓ ► *Articles of association*
- ✓ ► *Statutory report*
- ✓ ► *Certificate of commencement*

Merchandise on hand at either the beginning or end of the reporting period is called_____.

- ✓ ► *Raw material*
- ✓ ► *Cost of good sold*
- ✓ ► *Work in process*
- ✓ ► *Inventory*

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts receivable and an ending balance of Rs. 15,000. Credit Sales of Rs.200,000 were made during the year. Using this information, compute cash collected from customers.

- ✓ ► *Rs. 205,000*
- ✓ ► *Rs. 215,000*
- ✓ ► *Rs. 195,000*
- ✓ ► *Rs. 200,000*

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

- ✓ ► *Decrease assets and liabilities.*
- ✓ ► *Increase assets and stockholders' equity.*
- ✓ ► *Decrease assets and stockholders' equity.*
- ✓ ► *Increase liabilities and decrease stockholders' equity.*

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

- ✓ ► *Rs. 3,000*
- ✓ ► *Rs. 5,000*
- ✓ ► *Rs. 7,000*
- ✓ ► *Rs. 8,000*

The amount owed by debtors at the end of a month appears on

The_____ side of the control account.

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- ✓ ► *Left side or debit*
- ✓ ► *Left side or credit*
- ✓ ► *Right side or debit*
- ✓ ► *Right side or credit correct*

Which of the following is correct for an account has debit balance?

- ✓ ► *The amount of the debits exceeds the amount of the credits*
- ✓ ► *There are more entries on the debit side than on the credit side*
- ✓ ► *Its normal balance is debit without regard to the amounts on the debit side*
- ✓ ► *The last entry of the accounting period was posted on the debit side*

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

- ✓ ► *Rs.52,500*
- ✓ ► *Rs.42,500*
- ✓ ► *Rs.43,500*

- ✓ ► *Rs.50,500*

Which of the following can be distributed among the share holders?

- ✓ ► *Capital reserve*
- ✓ ► *General reserve*
- ✓ ► *Revaluation reserve*
- ✓ ► *All of the given options*

Which of the following capital is taken up by the general public?

- ✓ ► *Issued capital*
- ✓ ► *Subscribed capital*
- ✓ ► *Authorized capital*
- ✓ ► *Reserve capital*

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ✓ ► *Provision for doubtful debts*
- ✓ ► *Gain or loss on currency exchange rate*
- ✓ ► *Depreciation charged on fixed asset*
- ✓ ► *Amount received for disposal of a fixed asset*

Primary purpose of the cash flows statement is to provide the information about:

- ✓ ► *Errors or discrepancies between cash book and income statement*
- ✓ ► *Receipt and payment of cash in the period*
- ✓ ► *Non cash adjustment that effect the income statement*
- ✓ ► *Cash paid to the customers and creditors of the business*

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on anentity's financial position?

- ✓ ► *Balance Sheet*
- ✓ ► *Income Statement*
- ✓ ► *Statement of cash flows*

- ✓ ► *Statement of changes in equity*

According to the statement of cash flows following are the examples of investing activities except:

- ✓ ► *Sales of machinery*
- ✓ ► *Capital invested by the owners*
- ✓ ► *Purchase of building for the business use*
- ✓ ► *Cash received from the disposal of equipment*

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

- ✓ ► *Current assets and other assets*
- ✓ ► ***Current liabilities and current assets***
- ✓ ► *Current liabilities and plant and equipment*
- ✓ ► *Non current liabilities and other assets*

Which of the following is measured by debt ratio?

- ✓ ► *Short-term liquidity*
- ✓ ► ***Creditors' long term risk***
- ✓ ► *Short-term risk of the company*
- ✓ ► *All of the given options*

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